

How Our Investing System Works - Plain English

Written for someone who doesn't code or follow investing. It covers: what we tested and why it counts as a success, the six live 'paper' experiments we're now running, and - honestly - how this compares to doing it yourself, a Roth, or paying a company.

Part 1 - The Backtest: what we tested, why it 'worked,' why we moved on

A 'backtest' replays years of real market history and pretends to trade through it, day by day, to see how a strategy would have done - the catch is making sure it can't secretly peek at the future. Our early attempts accidentally cheated (and looked amazing but fake). We rebuilt everything so it CANNOT cheat. The honest result is smaller - and trustworthy.

We also tested adding company financials and insider-trading data - a fair test showed they made results WORSE, so we dropped them from the core. And fancier AI models did not beat a simple one. The winner was a simple, disciplined strategy that favors calmer stocks and sits in cash when the market is dangerous.

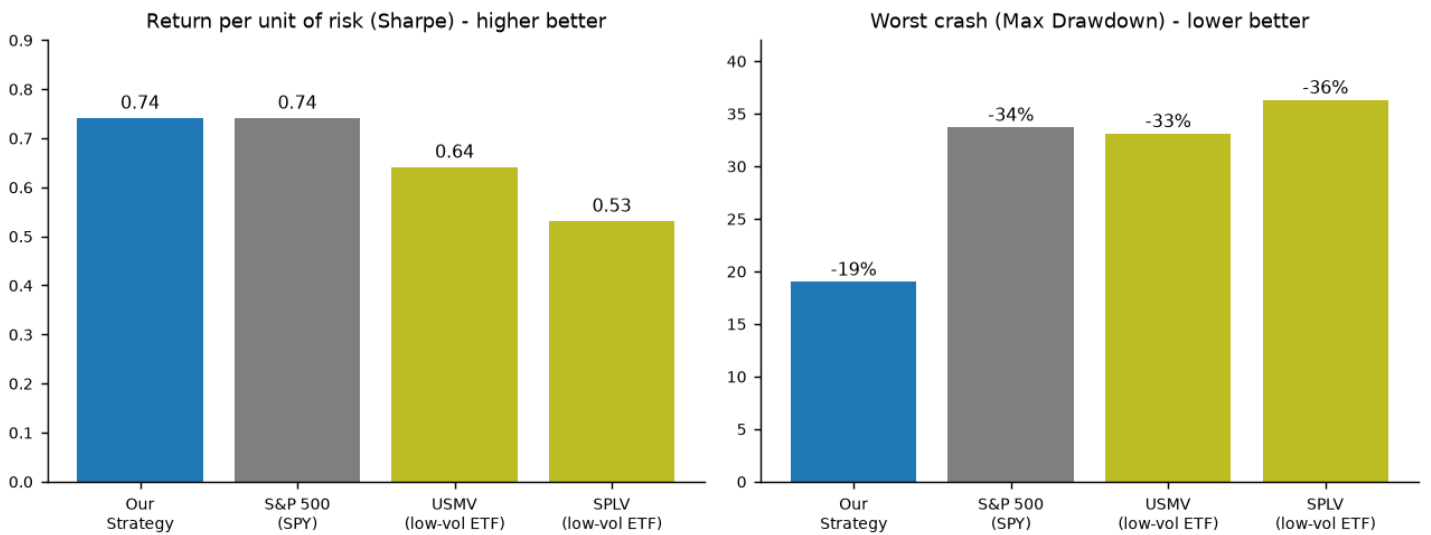
What the numbers say (real data, 2018-2026, after trading costs)

Measure (plain meaning)	Our Strategy	S&P 500	Winner
Return per unit of risk (Sharpe)	0.74	0.74	Tie
Worst crash (drawdown)	-19%	-34%	Us (half the crash)
Bumpiness (volatility)	12.7%	19.3%	Us (calmer)
Total money made	99%	170%	S&P (more \$)
Yearly return	9.0%	13.2%	S&P

Versus the cheap 'safe' ETFs you could just buy (USMV, SPLV) - the real alternative:

Measure	Ours	USMV	SPLV
Return per unit of risk	0.74	0.64	0.53
Worst crash	-19%	-33%	-36%

Our strategy vs the market and vs cheap low-vol ETFs (2018-2026, after costs)



The honest verdict: about the SAME reward-for-risk as the market with roughly HALF the crash - and better than the cheap safe-ETFs. It's a smoother ride, not a richer one. That trustworthy 'good but modest' is the win; it's why we moved on to live paper testing.

Part 2 - The six live 'paper' experiments (fake money, real time)

A backtest is the past. A 'paper test' trades the FUTURE with fake money, in real time - the honest way to see if the edge holds up. Every weekday, automatically, each version below makes real decisions and we record them. Zero real money is at risk. We run several side by side - a horse race - to see which (if any) beats the simple proven one. If none do, we keep the simple one.

TEST 1 - equity_validated - The proven baseline (the yardstick)

The simple, validated stock strategy from Part 1. It favors calmer stocks and goes to cash when the market turns dangerous. This is the 'control' - every fancier version has to beat THIS to be worth the added complexity.

TEST 2 - equity_full_goal - Stocks with all the bells and whistles

Stocks, but running the full rulebook: it reads six market 'moods' (calm bull, bear, crisis, etc.) and adjusts, sizes positions by a careful risk formula, and runs safety checks before buying. Tests whether all that machinery beats the simple version on stocks.

TEST 3 - crypto_full_goal - The same rules, on crypto

The identical full rulebook applied to crypto (Bitcoin, Ethereum, and other large coins). Crypto is wilder, so the safety checks and tighter caps matter more here.

TEST 4 - full_system - Everything together

Stocks + crypto combined into one portfolio, plus a 'learning loop' that gradually shifts money toward whichever book is actually performing. This is the complete engine.

TEST 5 - full_system_max - Everything + extra data

Test 4 PLUS company financial reports and insider-trading data. Our backtest said that data HURT - so this exists to double-check that finding in real time. Honesty over hope: if it does worse, that's the point of running it.

TEST 6 - full_system_v6 - Everything + GOLD (new percentages)

Test 5 PLUS a precious-metals book (gold and silver), under updated targets: up to 65% stocks, 15% gold/metals, 20% crypto, rest cash. Gold tends to hold up when stocks fall, so it's a defensive cushion. (We researched fine art too and REJECTED it - after real costs it historically adds nothing, and it can't be traded by an automated system.)

(component) - metals_full_goal - the gold/silver book by itself

The precious-metals piece tracked on its own, so we can see exactly how much the gold cushion helps - separate from everything else.

After about 3 months of real paper results, each version faces a 'promotion gate': it only graduates toward real money if it makes steady risk-adjusted gains, beats the simple baseline AND the cheap safe-ETFs, and respects its safety brakes. If nothing clears the bar, the honest answer is 'keep it simple' - and that counts as success too.

Part 3 - How is this different from other ways to invest?

Told plainly, and honestly - including what it does NOT do.

VS. PICKING YOUR OWN - Doing it yourself (researching / 'self-search' investing)

The big difference is DISCIPLINE. It follows the same tested rules every single day - it never panic-sells in a scare or chases a hot tip. Most people who pick their own stocks underperform mainly because of emotion and over-trading; removing the human impulse is the real edge. It also has automatic brakes (goes to cash in a crisis, stops after big losses) that people rarely follow on their own.

VS. A ROTH - A Roth IRA (this is NOT an either/or)

Important: a Roth isn't a strategy - it's a TAX-FREE BUCKET you hold investments inside. You don't choose 'this system OR a Roth.' The ideal is to run a good strategy INSIDE a Roth so the gains grow tax-free. So they work together; a Roth is the container, this is what could go in it.

VS. A COMPANY - Paying a robo-advisor or financial advisor to invest for you

Three real advantages: (1) NO FEES - robo-advisors take ~0.25%/yr and advisors ~1%/yr, which is large over decades; this is free to run. (2) TOTAL TRANSPARENCY - you see every decision and the exact reason; most funds are a black box. (3) BUILT-IN SAFETY BRAKES aimed at avoiding big crashes. Honest caveats: a robo-advisor is simpler and needs zero upkeep; a human advisor also helps with taxes, retirement, and life planning that this does not; and this system requires some technical setup.

The honest bottom line

Right now this system's real edges are TRANSPARENCY, NO FEES, DISCIPLINE, and STRONG RISK CONTROL - a smoother, less scary ride that roughly matches the market with much smaller crashes. It is NOT (yet) a proven way to earn MORE than the market. We're testing it forward, honestly, with fake money before a single real dollar is at risk - and if the simple version wins, we keep the simple version. Discipline over hype.